

A project report on

Quantum-Resilient Spatio-Temporal Pattern Learning for Adaptive Trust Evaluation in Digital Payment Ecosystems

Submitted in partial fulfillment for the award of the degree of

Bachelor of Technology in Computer Science And Engineering

by

Kasanneni Charan (22BCE1759)

Beere Jaya Madhav (22BCE1754)

Kollipara Venkata Viswadhara (22BCE1950)



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Vellore Institute of Technology
(Deemed to be University under section 3 of UGC Act, 1956)
CHENNAI

SCHOOL OF COMPUTER SCIENCE AND ENGINEERING

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DECLARATION

I hereby declare that the thesis entitled “Quantum-Resilient Spatio-Temporal Pattern Learning for Adaptive Trust Evaluation in Digital Payment Ecosystems” submitted by Kollipara Venkata Viswadhara (22BCE1950) for the award of the degree of Bachelor of Technology in Computer Science and Engineering, Vellore Institute of Technology, Chennai is a record of bonafide work carried out by me under the supervision of Dr. Renjith P N.

I further declare that the work reported in this thesis has not been submitted and will not be submitted, either in part or in full, for the award of any other degree or diploma in this institute or any other institute or university.

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Signature of the Candidate



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This is to certify that the report entitled “**Quantum-Resilient Spatio-Temporal Pattern Learning for Adaptive Trust Evaluation in Digital Payment Ecosystems**” is prepared and submitted by **Kollipara Venkata Viswadhara (22BCE1950)** to Vellore Institute of Technology, Chennai, in partial fulfillment of the requirement for the award of the degree of **Bachelor of Technology in Computer Science and Engineering** is a bonafide record carried out under my guidance. The project fulfills the requirements as per the regulations of this University and in my opinion meets the necessary standards for submission. The contents of this report have not been submitted and will not be submitted either in part or in full, for the award of any other degree or diploma and the same is certified.

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ABSTRACT

The journey of digital payments has been a vital cause for the reshaping of world finance, which now transacts quickly, no matter the distance, and without the use of cash. Nevertheless, alongside this development was the rise of cyber fraud as a new and complicated challenge that criminals managed to overcome through sophisticated transaction patterns and timings.

The title of our project is “Quantum-Resilient Spatio-Temporal Pattern Learning for Adaptive Trust Evaluation in Digital Payment Ecosystems,” and our goal is to develop a machine learning-based fraud detection system that is both intelligent and secure. The model uses transaction data which is characterized by its location, time, and behavior to spot the fraud. Ultimately, the Random Forest classifier was employed which had been selected after trying out several different algorithms such as Logistic Regression, Gradient Boosting, and XGBoost. In order to make the model more precise, the application of SMOTE was necessary as fraudulent transactions are infrequent thereby resulting in an unbalanced dataset.

The group performed exploratory data analysis (EDA) to uncover the patterns and correlations, as well as behaviors related to time. The final model was made accessible through a Streamlit web app. It provided users with the capability to verify single or batch transactions, receive fraud risk scores, view explanations for predictions, and automatically be informed of high-risk cases. A Dashboard has been incorporated that not only displays the trends and fraud insights for the analysts but also sends alerts for the same.

In effect, the system does not perform any quantum computing tasks, yet it is still quantum-resilient, meaning that it is suitable for working with complex, high-dimensional data and can be integrated with future post-quantum security without any hassle.

To conclude, our framework is a solution for fraud detection that is scalable, interpretable, and real-time.

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CONTENTS

CONTENTS	vii
LIST OF FIGURES.....	xi
LIST OF TABLES.....	xii
LIST OF ACRONYMS.....	xiii

CHAPTER 1

INTRODUCTION

1.1 INTRODUCTION	1
1.2 MOTIVATION.....	2
1.3 PROBLEM STATEMENT.....	2
1.4 OBJECTIVES OF THE PROJECT	3
1.5 SCOPE OF THE PROJECT	3

CHAPTER 2

LITERATURE REVIEW

2.1 INTRODUCTION	5
2.2 TRADITIONAL FRAUD DETECTION APPROACH.	5
2.3 MACHINE LEARNING IN FRAUD DETECTION	6
2.4 SPATIO-TEMPORAL MODELLING OF TRANSACTION	7
2.5 CLASS IMBALANCE AND DATA RESAMPLING	7
2.6 EVALUATION METRICS IN FRAUD DETECTION	8
2.7 TRUST EVALUATION IN DIGITAL PAYMENT SYSTEMS	8
2.8 QUANTUM-RESILIENT SECURITY CONSIDERATIONS	9
2.9 COMPARISON OF RELATED WORK.....	9
2.10 RESEARCH GAP AND NEED FOR PROPOSED WORK.....	9
2.11 SUMMARY	10

CHAPTER 3

SYSTEM DESIGN AND METHODOLOGY

3.1 INTRODUCTION	11
3.2 SYSTEM REQUIREMENT SPECIFICATION.....	11
3.3 FUNCTIONAL REQUIREMENTS	12
3.4 NON-FUNCTIONAL REQUIREMENTS	12
3.5 SYSTEM ARCHITECTURE	13
3.6 METHODOLOGY	14
3.7 ALGORITHMIC DESIGN.....	16
3.8 MODULE DESIGN	17
3.9 DATA DESIGN	17
3.10 USER INTERFACE DESIGN	18
3.11 SPATIO-TEMPORAL PATTERN LEARNING	18
3.12 QUANTUM-RESILIENT DESIGN CONSIDERATIONS	19
3.13 SUMMARY	19

CHAPTER 4

DATA COLLECTION AND PREPROCESSING

4.1 INTRODUCTION	20
4.2 DATASET DESCRIPTION	20
4.3 EXPLORATORY DATA ANALYSIS (EDA)	21
4.4 DATA CLEANING AND FEATURE ENGINEERING	23
4.5 CLASS IMBALANCE HANDLING USING SMOTE	23
4.6 DATA SPLITTING	24
4.7 MODEL SELECTION STRATEGY	24
4.8 MODEL TRAINING.....	24
4.9 MODEL EVALUATION	25
4.10 FEATURE IMPORTANCE ANALYSIS.....	25
4.11 MODEL SERIALIZATION AND REPRODUCIBILITY	26
4.12 INTEGRATION WITH APPLICATION LAYER	26
4.13 SUMMARY	26

CHAPTER 5

MODEL DEVELOPMENT AND TRAINING

5.1 INTRODUCTION	27
5.2 SOFTWARE ENVIRONMENT	27
5.3 SYSTEM ARCHITECTURE	27
5.4 IMPLEMENTATION WORKFLOW	28
5.5 STREAMLIT USER INTERFACE.....	29
5.6 ALERT MECHANISM.....	30
5.7 DASHBOARD VISUALIZATION.....	30
5.8 EVALUATION PROCEDURE.....	31
5.9 USER EXPERIENCE AND INTERACTION	31
5.10 SECURITY AND PRIVACY MEASURES	32
5.11 QUANTUM-RESILIENT IMPLEMENTATION VIEW	32
5.12 SUMMARY	32

CHAPTER 6

IMPLEMENTATION AND RESULTS

6.1 INTRODUCTION	33
6.2 PERFORMANCE EVALUATION METRICS	33
6.3 MODEL EVALUATION RESULTS.....	34
6.4 CONFUSION MATRIX ANALYSIS.....	34
6.5 COMPARATIVE MODEL PERFORMANCE.....	35
6.6 FEATURE IMPORTANCE INTERPRETATION.....	36
6.7 RESOURCE UTILIZATION AND EFFICIENCY	36
6.8 ERROR ANALYSIS	37
6.9 COMPARISON WITH RELATED WORKS	37
6.10 QUANTUM-RESILIENT PERFORMANCE INSIGHT.....	37
6.11 DISCUSSION OF FINDINGS	38
6.12 SUMMARY	38

CHAPTER 7

CONCLUSION AND FUTURE WORK

7.1 INTRODUCTION	39
7.2 PROJECT SUMMARY.....	39
7.3 MAJOR CONTRIBUTIONS.....	40
7.4 COMPARATIVE ADVANTAGES	40
7.5 PRACTICAL APPLICATIONS.....	41
7.6 LIMITATIONS	42
7.7 FUTURE WORK	42
7.8 OVERALL CONCLUSION.....	43

APPENDICES.....44

APPENDIX – A : DATASET DETAILS.....	44
APPENDIX – B : MODEL TRAINING SNAPSHOTS	45
APPENDIX – C : APPLICATION INTERFACE SCREENSHOTS.....	46
APPENDIX – D : CODE STRUCTURE OVERVIEW	48
APPENDIX – E : EMAIL ALERT TEMPLATE	48
APPENDIX – F : MODEL PERFORMANCE SUMMARY	49
APPENDIX – G : SYSTEM REQUIREMENTS	49
APPENDIX – H : UHER GUIDE SUMMARY.....	49

REFERENCES50

LIST OF FIGURES

Figure 3.5 System Architecture of Fraud Detection System	14
Figure 4.3.1 Transaction-Type Distribution	21
Figure 4.3.2 Amount Analysis.....	21
Figure 4.3.4 Correlation Study	22
Figure 4.3.4 Fraud over time	22
Figure 6.4 Confusion Matrix of all models	35
Figure 6.5 Model Comparison.....	36
Figure C.1 Home Page with description and navigation sidebar	46
Figure C.2 Single Prediction input page.....	46
Figure C.3 Batch Detection CSV upload and output table.....	47
Figure C.4 Dashboard with fraud vs non fraud charts.....	47
Figure C.5 Email Alert	47

LIST OF TABLES

Table 2.9 Comparison of related work	9
Table 3.2 System Requirement Specification	11
Table 3.8 Model Design.....	17
Table 4.5 Class Distribution Before and After SMOTE	23
Table 4.7 Model Selection Summary	24
Table 4.10 Feature Importance Analysis	26
Table 5.2 Software environment	27
Table 5.8.2 Performance Testing	31
Table 7.4 Comparative Advantages of Proposed System over Existing Model	40
Table A Dataset Details	44

LIST OF ACRONYMS

AI	Artificial Intelligence
API	Application Programming Interface
AUC	Area Under Curve
CSV	Comma Separated Values
DL	Deep Learning
GB	Gradient Boosting
ML	Machine Learning
RF	Random Forest
ROC	Receiver Operating Characteristic
SMOTE	Synthetic Minority Over-Sampling Technique
SVM	Support Vector Machine
TP	True Positive
TN	True Negative
FP	False Positive
FN	False Negative
UI	User Interface
VIT	Vellore Institute of Technology
XGB	Extreme Gradient Boosting
ROC–AUC	Receiver Operating Characteristic – Area Under Curve

Chapter 1

Introduction

1.1 INTRODUCTION

The continuous evolution of fintech has switched the world monetary system upside down by introducing the digital payments that are not only fast but also very safe and accessible to all. The interactions that are happening every moment via virtual wallets, mobile banking, and online shopping, have already attracted millions of users, and at the same time, the financial sector is under pressure to ensure a safe environment as a trade-off for convenience.

As the number of digital transactions increases the number of sophisticated scammers will increase too. Unauthorized fund transfers, identity theft, payment reversals, and synthetic identity frauds are only some of the crimes that have been on the rise along with the online payment facilities. Cyber threats that change constantly have made it very difficult for the traditional fraud detection methods that heavily rely on static rules and manual verification to keep up. There is an urgent need for a new fraud detection system that is data-driven, adaptive, and resilient to learning from past data while real-time identifying the abnormal transaction patterns.

The current project demonstrates an adaptive fraud detection system based on machine learning, which learns the behavioral and temporal characteristics of payment transactions. The Random Forest Classifier, which is the main model, was selected because its robustness and interpretability are coupled with the complexity of financial data sets. Several factors, like transaction type, amount, sender-receiver balances, and temporal frequency patterns, compose the model's parameters, all of which are used to assess the trustworthiness of each transaction.

The system's architecture contains a feature of spatio-temporal adaptability, meaning that the old transaction values are not the only things considered but also the dynamic behavioral patterns over time. Moreover, the identification of fraudulent activities e.g. repetitive or time-correlated nature, which is one of the factors contributing to the success of the model in the risk classification, leads to the acquisition of a more accurate result.

1.2 MOTIVATION

In truth, trust in today's digital payment systems is a factor that is always changing instead of being a constant quality. Trustworthiness of customers, merchants, and service providers has to be evaluated and updated continuously by financial platforms in line with the observed pattern and deviations from the normal behavior. On top of that, the increasing interest in quantum computing research moot the security of the coming years because today's encryption and fraud prevention techniques may not be able to resist fast quantum decryption. Since quantum systems, nonetheless, are not mainstream yet, the current establishment of quantum-resistant AI pipelines will enable antifraud measures to be immortal and very adaptable at the same time.

The project claims to integrate hands-on machine learning techniques with an architectural resilience that is futuristic and can deal with the ultra-high-dimensional, time-correlated financial data and, at the same time, be so pliable that it could accommodate the future post-quantum cryptographic modules.

1.3 PROBLEM STATEMENT

One of the biggest problems that online payment methods have to deal with is constantly evolving security situation dictated by more and more intricate fraudulent patterns. Among these are tactically timed transactions that fill in the gaps, throwing and shifting funds, and friendly-fraud-like account activities. Slow or rule-based methods are not very effective because of their inflexibility and failure to detect new frauds.

Consequently, the issue taken up in this project is:

“To create a smart fraud detection system that is capable of sorting through spatio-temporal transaction patterns, balancing class disparities, and offering reliable predictions for digital payment systems, all relying on machine learning.”

1.4 OBJECTIVES

The project has the following primary goals:

1. To execute exploratory and statistical analyses of transaction datasets for spotting the main fraud indicators.
2. To utilize the SMOTE algorithm for handling class imbalance, thus enhancing the detection of minority fraud cases.
3. To evaluate various classification algorithms and pick the best model for fraud detection.
4. To carry out Random Forest model training and optimization for strong fraud prediction.
5. To rollout the model developed through a Streamlit web interface that can assess both single submission and batch file inputs.
6. To implement the alert system for the identified fraud cases via SMTP email notifications.
7. To create analytical dashboards providing insights on fraud occurrence, risk score distribution, and changes in model performance over time.

1.5 SCOPE OF THE PROJECT

This project is focused on large-scale structured transaction data digital financial systems. This is going to be utilized in online banking, digital wallets and fintech even monitoring transactions.

Although it does directly utilize blockchain or quantum cryptography, it does provide a modular foundation for technology integration and the like. Its quantum resistance is based on the method's learning adaptability and the changing data sets' resistance.

The project scope covers:

- Financial datasets in their raw form Pre-processing and balancing.
- Engineering of features and mapping of correlations.
- Training and evaluation of models with Random Forest.
- Making a Streamlit application with single and batch prediction modules.
- Creating visualization and alerting systems for watching over transaction risk.

What's more, this project prepares the route for the application of AI-based adaptive trust evaluation in the real-time monitoring of the financial sector.

Chapter 2

LITERATURE REVIEW

2.1 LITERATURE REVIEW

The security of financial transactions has always been a research topic that was looking for methods to detect activities that could be classified as abnormal and far removed from the legal behaviour patterns. At first, the research was mainly based on threshold-based alerts but soon the tremendous growth of e-commerce and mobile wallets pointed out the static rule-based systems' shortcomings. Machine learning (ML) made it possible to detect fraud in one simple way - the systems were able to uncover hidden correlations among different transaction features such as time, amount, and involved parties.

This chapter presents an overview of items such as fraud detection, spatio-temporal modeling, class imbalance mitigation, and trust evaluation which are the previous works. It also points out the technological gap that resulted in the designing of the Quantum-Resilient Spatio-Temporal Pattern Learning framework project.

2.2 TRADITIONAL FRAUD DETECTION APPROACHES

In the past, payment monitoring was conducted by relying on rule-based engines, expert systems, and human verification. For instance, a rule engine would prevent transactions that exceeded a certain daily amount or were from blacklisted accounts. These are... quite interpretable and easy to implement. However, they have major drawbacks as they do not adapt to new fraud types and they also contribute to blocking a large portion of legitimate transactions as false positives. Gradually the transition to machine learning models had begun because of the limitations of the traditional methods that relied on deterministic logic. The statistical methods such as logistic regression and Bayesian inference among others were used for interpreting the probabilistic reasoning, however, it was still assumed that there were linear relations and the attributes were independent which hence restricted their ability to capture the high-dimensional dependencies across time and entities differentially.

2.3 MACHINE LEARNING IN FRAUD DETECTION

2.3.1 Supervised Learning

Supervised classifiers make use of the labelled historical data for learning purposes, where the transactions are marked as "legitimate" or "fraudulent."

Among the most common are:

- **Decision Trees** – They provide good interpretability but, conversely, may not always be accurate due to potential overfitting on the noisy financial data.
- **Random Forest (RF)** – It is a group of decision trees and the predictions made by combining them yield high accuracy and low variance; thus, it is quite powerful with large sets of transaction data.
- **Gradient Boosting and XGBoost** – If these models are to be considered, their performance will be excellent, but the other side of the coin is that they will require very careful tuning and long training periods.
- **Support Vector Machines (SVM)** – They manage to separate using hyperplanes, however, they simultaneously do not perform well with millions of records in terms of scaling. Comparative research has consistently placed Random Forest among the top robust models for structured financial data, which had a significant impact on the project's algorithmic choice.

2.3.2 Unsupervised and Hybrid Methods

The lack of labeled data and the time-consuming fraud labeling process prompted the researchers to put the unlabeled anomaly detection method based on clustering (like k-means and DBSCAN) or autoencoders as the most favorable option. The hybrid models which work in collaboration, initially undergo an unsupervised pre-filtering-phase to remove the unworthy cases, then the supervised refinement-phase where accuracy is fine-tuned, thus leading to better recall of very rare types of fraud. Nevertheless, these techniques demand intricate parameter tuning and often render the results opaque.

2.4 SPATIO-TEMPORAL MODELLING OF TRANSACTIONS

Fraud detection procedures are generally considered to be a widespread activity pattern rather than occasional cases, either a pattern that is spread over time or one connecting various accounts. Temporal analysis investigates the transactions in terms of their frequency and inter-arrival time, as well as unexpected spikes in activity. Spatial analysis deals with the interpretation of the contextual features such as geolocation, merchant category or source–destination relationships, for example, and tries to discover if there are behaviors that are not in their proper place.

The current study exploits the feature engineering by the temporal window approach, rolling statistics or sequence embeddings. They have experimented with deep recurrent models but still, lightweight tree-based learners, like Random Forest, are often chosen in production-quality financial settings because of their interpretability and speed among others.

The automatic system under consideration, goes for the extraction of spatio-temporal balance differences i.e., the difference between the sender and receiver balance, which implicitly represents the behavioral dynamics without the need for heavy sequential modeling.

2.5 CLASS IMBALANCE AND DATA RESAMPLING

In most cases, the datasets of genuine transactions would include only about 0.5% of the fraudulent transactions which leads to a very imbalanced class distribution. Consequently, the model that is built on such data tends to predict most transactions as belonging to the majority class (non-fraud). Various resampling methods have been proposed to deal with this matter:

- **Random Oversampling / Undersampling** – this is the simplest way but it can also introduce duplicates of the noise and lose important data, respectively.
- **Synthetic Minority Oversampling Technique (SMOTE)** – it forms new instances for the minority class by interpolating between the nearest neighbours thus keeping the variety of the features.
- **ADASYN and Borderline-SMOTE** – both of them are modifications of

SMOTE that use adaptive weighting.

Among the methods mentioned above, SMOTE has been found to provide an excellent compromise between the authenticity of the data and its distribution, hence the choice of it for the development of a balanced training dataset in this project.

2.6 EVALUATION METRICS IN FRAUD DETECTION

In the case of imbalanced classes, using precision or accuracy as a metrics alone will not give a complete picture. The performance metrics used most commonly are:

- **Precision** – the proportion of actual positive cases among the predicted fraudulent ones.
- **Recall (Sensitivity)** – the proportion of actual fraud cases that were correctly identified to the total number of cases of fraud.
- **F1-Score** – the ratio of precision and recall calculated using harmonic mean.
- **ROC–AUC** – the area under the receiver-operating-characteristic curve which indicates the model's ability to classify instances correctly irrespective of the threshold. Regulatory authorities and industry specialists consider recall to be very important as they try to prevent fraud losses, hence they allow a moderate level of precision.

The Random Forest model built in this project was evaluated through the above metrics so that its performance would be acknowledged as being well-rounded in diverse aspects.

2.7 TRUST EVALUATION IN DIGITAL PAYMENT SYSTEMS

Besides the binary classification of fraudulent activities, the continuous trust scoring of entities was considered to be the main requirement of the modern ecosystems. The adaptive trust models considering the last activity, the device reputation, and the transaction context come up with the dynamic risk values. Among others, Bayesian Trust Networks and reinforcement learning-based trust propagation are suggested as methodologies, yet most of them are still at the

theoretical stage. This project takes adaptive trust to the next level because the model's risk-score output, which goes from 0–100 and is presented in the Streamlit interface, makes it possible. The score, through the machine learning outputs, has become a quantitative trust indicator that is in sync with the financial decision-making processes.

2.8 QUANTUM-RESILIENT SECURITY CONSIDERATIONS

Quantum computing can, in the long run, pose a threat to the invulnerable cryptography systems that protect payment data. While quantum enemies on a full scale are still not practical, it is advisable that payment systems, especially fraud detection ones, be capable of combining post-quantum encryption methods with high-dimensional data processing in their architecture. Random Forest classifiers show great strength under noisy and non-linear conditions and their modularity thus allows them to integrate easily into post-quantum secure communication layers. The proposed system's API design is modular, hence, it guarantees compatibility with future-proof extensions.

2.9 COMPARISON OF RELATED WORK

Author / Year	Technique	Dataset / Domain	Key Outcome
Carcillo et al., 2019	Isolation Forest + SMOTE	Credit-card dataset	Improved recall on minority class
Douzas et al., 2018	Random Forest + SMOTE	Bank transactions	F1 $\approx$ 0.97
Fu et al., 2020	XGBoost + Temporal Features	Online payments	High ROC–AUC (0.995)
Zhang et al., 2021	Deep LSTM Model	Cross-border payments	High recall but poor explainability
Proposed Work (2025)	Random Forest + SMOTE + Spatio-Temporal Balances	Digital payment ecosystem	Balanced performance with interpretable risk scoring

2.10 RESEARCH GAP AND NEED FOR THE PROPOSED WORK

The literature suggests that despite advanced models exhibiting extremely high

accuracy, a significant portion of them are still considered to be 'black boxes', they consume too much power and are limited to a few applications only. Few studies assess trust as a metric that is constantly evolving and dynamic, and even a smaller number of them create systems that would integrate effortlessly with quantum-secure infrastructures.

Thus, a framework of the following nature is extremely essential:

1. Employs Random Forest an explainable ensemble based ML technology.
2. Imaging of spatio-temporal behavior in a very simple way without deep neural networks.
3. Uses a dynamically changing trust score instead of a fraud label that is either positive or negative.

Provides an interface that can be installed and is real-time, hence suitable for banking operations. The modular design, effective SMOTE-balanced training, and operational Streamlit deployment allow the current project to satisfy this requirement.

2.11 SUMMARY

In this chapter, previously mentioned methodologies for fraud detection and trust assessment in digital payments were surveyed. The restrictions of rule-based techniques were pointed out, the advantages of ensemble ML models were mentioned, and data imbalance remedies were discussed. The design of the following system was influenced by the architectural and methodological choices made based on the insights gained.

Chapter 3

SYSTEM DESIGN AND METHODOLOGY

3.1 INTRODUCTION

The system analysis, being the core part of the technology for the application, translates the project goals into the concrete parts of function and structure. The main objective of the existing system is to stop fraudulent payments by making use of an adaptive scoring mechanism that assigns a trust level to each transaction based on behavioral and temporal correlations in data, thus preventing through detection of such activities.

The entire process can be classified into four separate layers:

1. **Data Acquisition and Preprocessing** – the layer in charge of the acquisition, cleansing, and balancing of the raw transactional records.
2. **Model Development and Training** – this layer is concerned with the building of the Random Forest classifier using the SMOTE-balanced input.
3. **Application Interface Layer** – this includes the deployment of the Streamlit web app which permits both single and batch analyses.
4. **Monitoring and Visualization** – this layer handles the risk-scoring, dashboard analytics, and email-alert notification.

3.2 SYSTEM REQUIREMENT SPECIFICATION

Category	Specification
Hardware	Intel i5/i7 CPU $\geq$ 8 GB RAM, SSD storage $\geq$ 10 GB
Operating System	Windows 10 / Ubuntu 20.04 / macOS 10.15 or above
Software Tools	Python 3.10+, Streamlit, Scikit-learn, Pandas, NumPy, Plotly, Matplotlib
Libraries for ML	imblearn, joblib, xgboost (for comparison), seaborn
Email Alert Integration	SMTP protocol (Gmail App Password)

Category	Specification
Output Formats	Fraud predictions, CSV reports, interactive plots

3.3 FUNCTIONAL REQUIREMENTS

1. **Transaction Input Module** – provides the capability for either one prediction by means of manual entry or going through the process of uploading via CSV for bulk processing.
2. **Feature Processing Unit** – the numbers are standardized using various methods, and their categorical representation is done while SMOTE is applied to the training set.
3. **Model Inference Engine** – it takes the Random Forest model (fraud_detection_pipeline.pkl) that has been previously trained and assigns the probabilities to each class.
4. **Risk Score Computation** – it converts the probability of fraud into a risk score between 0 and 100, thus showing the degree of trust that can be modified.
5. **Email Alert Service** – notifications of high-risk transactions are, by default, dispatched automatically.
6. **Visualization Dashboard** – shows the ratio of fraud to non-fraud, the risk score histogram, and analysis by transaction type.
7. **Data Export Utility** – it enables users to obtain the results in a CSV format for the purpose of auditing and compliance.

3.4 NON-FUNCTIONAL REQUIREMENTS

- **Performance** – Prediction latency for each record is under one second.
- **Scalability** – At least one hundred thousand transactions can be performed in a single batch.
- **Security** – Encrypted format applied for storing uploaded files and authenticated users receiving SMTP alerts.
- **Reliability** – Model loading is done with error handling and exception control.

- **Usability** – Just a few input steps are required by the user-friendly Streamlit interface.
- **Maintainability** – Code structure is modular, permitting the separation of preprocessing, model, and UI components.

3.5 SYSTEM ARCHITECTURE

The architecture follows a **modular pipeline** :

1. **Input Layer:** User provides transaction data manually or via CSV.
2. **Preprocessing Layer:** Features are scaled and categorical variables encoded; missing values are handled.
3. **Model Layer:** Random Forest ensemble predicts fraud probability.
4. **Risk Evaluation Layer:** Converts probabilities to adaptive trust scores and flags suspicious entries.
5. **Alert and Visualization Layer:** Generates email alerts and updates real-time dashboard.

This layered design separates computation from presentation, enabling independent upgrades—e.g., swapping the classifier or embedding post-quantum encryption—without re-engineering the UI.

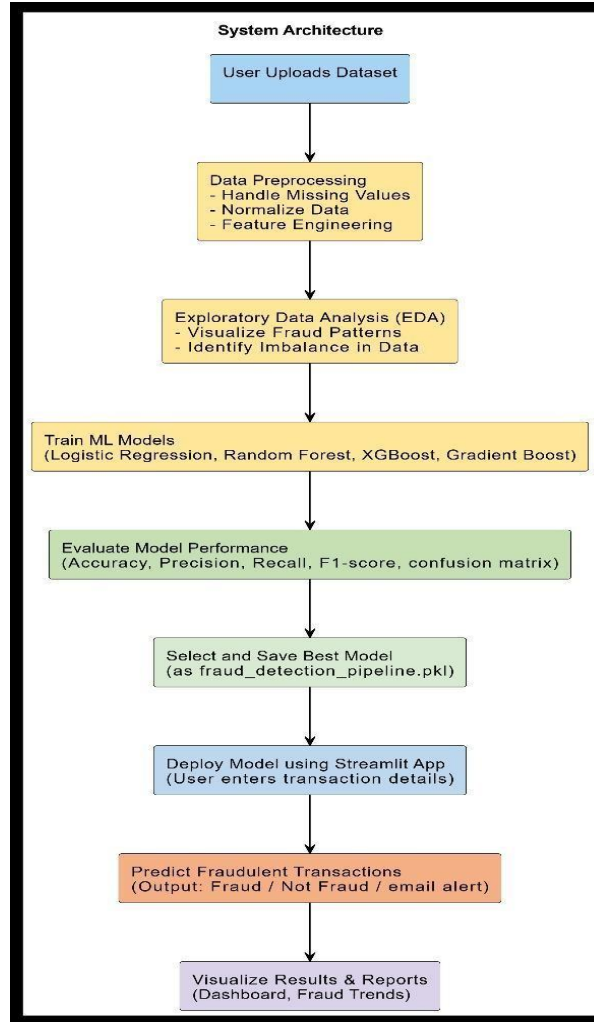


Figure 3.5 System Architecture of Fraud Detection System

3.6 METHODOLOGY

3.6.1 Overview

The proposed technique is relying on a data-driven, modular, and the iterative process as its pigeonhole. Every single stage starting from raw data ingestion to the ultimate visualization is interlinked by one pipeline that ensures the properties of reliability, scalability, and explainability. Hence, one is on the verge of following a series of steps that are as follows:

1. **Data Collection:** Anonymized digital payment transaction logs will be collected along with features of time and balance.

2. Data Preprocessing: The data is cleaned, normalized, and categorical variables are one-hot encoded, and features where differences in balance have been calculated are included.
3. Data Balancing: SMOTE technique is the one to handle class imbalance by generating synthetic fraud samples.
4. Model Development: A Random Forest Classifier is to be done as per the given data and tested as per the hold-out data with its performance being evaluated through stratified cross-validation.
5. Risk Computation: Model probabilities are turned into trust scores between 0 and 100 which will be used for ranking the transaction risk.
6. Deployment and Monitoring: The pipeline is through Streamlit, hence, interactive analysis is possible, and the flagged cases are notified via email alerts

3.6.2 Rationale

The selection of the methodology was grounded in its enumerated benefits among others:

- Interpretability: The human being can grasp the rationale behind the model's decisions, whereas the tree-based technique only shows the significance of the features.
- Efficiency: The combination of SMOTE and Random Forest has a high recall rate as its output, and no deep networks are required to be handled.
- Adaptability: The existing pipeline has settings that will facilitate retraining when the fraud patterns shift.
- Quantum Readiness: The architecture of the system is such that the future incorporation of quantum-safe cryptographic modules is feasible.

3.6.3 Methodological Validation

Statistical and empirical tests provide proof for the validity of each phase in the following way:

- First, the distributions of the original data and those created by SMOTE are compared.
- Then, the metrics of cross-validation are calculated (Precision, Recall, AUC).

- The transaction is in turn scrutinized by a human expert, who performs checks on high risk transactions to justify consistency in reasoning.
- Finally, the end-user is asked to provide feedback on the user-friendliness of the dashboard.

3.7 ALGORITHMIC DESIGN

3.7.1 Random Forest Classifier

The Random Forest classifier is a group of decision trees that are built using the method of bootstrap aggregation (bagging).

For each tree:

1. A random sample of the data set is taken.
2. A random group of features is looked at for every split.
3. Trees being untrimmed to their heights. The last prediction is made by counting which tree voted the most for that case.

The benefits of fraud detection are:

- They handle non-linear interactions between all attributes.
- It is hard to be over-fitted.
- Can provide a ranking of features based on their importance for the sake of interpretability.

3.7.2 SMOTE Balancing

SMOTE is a technique that mixes up the data from minority classes to create new instances which are placed between closely located fraud occurrences. Consequently, the training set holds a bigger portion of fraud which helps the classifier to learn the decision boundaries more easily.

Steps in the algorithm:

1. The first step is to find out the k nearest neighbors for every minority sample x .
2. From the found neighbors one will be chosen randomly and that will be considered as the neighbor y .
3. Create a synthetic point $x' = x + \lambda \times (y - x)$, where $\lambda \in [0, 1]$.

3.8 MODULE DESIGN

Module	Description
Data Preprocessing	Reads CSV, drops irrelevant identifiers, handles missing data, encodes "type" field, computes derived features balanceDiffOrig and balanceDiffDest.
Model Training	Splits data (70/30), applies SMOTE on training set, fits Random Forest classifier, and saves pipeline via Joblib.
Single Prediction Interface	Accepts manual inputs; returns fraud or non-fraud label with risk meter visualisation.
Batch Detection	Accepts CSV; runs predictions on entire dataset; adds columns Result, Risk Score, Reason.
Dashboard	Provides interactive charts (Pie, Histogram, Box plots) to analyse fraud distribution and risk levels.
Email Notification	Uses SMTP to send fraud alert with transaction details to the registered address.

3.9 DATA DESIGN

The core dataset fields are:

Field Name	Description
type	Transaction type (PAYMENT, TRANSFER, CASH_OUT)
amount	Transaction amount (USD equivalent)
oldbalanceOrig	Sender's balance before transaction
newbalanceOrig	Sender's balance after transaction
oldbalanceDest	Receiver's balance before transaction
newbalanceDest	Receiver's balance after transaction
isFraud	Target variable (0 = legitimate, 1 = fraudulent)
Derived attributes	balanceDiffOrig and balanceDiffDest capture temporal behaviour between consecutive steps, improving detection of inconsistent fund flows.

3.10 USER INTERFACE DESIGN

The Streamlit interface is separated into the following tabs:

1. **Home** – Overview of the project.
2. **Single Prediction** – A form that allows the user to submit their input by filling in the fields for amount and balances.
3. **Batch Detection** – A table containing the results after uploading a CSV file.
4. **Dashboard** – Shows the fraud ratio with a visualization.
5. **About** – Information about the developer and the project.

Figure 3.5 illustrates the navigation flow between these modules.

3.11 SPATIO-TEMPORAL PATTERN LEARNING

The spatio-temporal behaviour in payments means the relationship among the locations and times of transactions. In the data, there are no explicit geographic coordinates which is why this study uses sender-receiver account relation and balance differences to estimate the spatial context.

The temporal context is derived from the transaction step variable. The model analyzes the sequential balance transitions and account pairings to use patterns like the following:

- Several large-value transfers in quick succession.
- Destinations that are receiving credits unusually often.
- Accounts of the sender that are showing fluctuating balances.

The Random Forest ensemble benefits from these extracted signals and can therefore effectively perform spatio-temporal discrimination without having to rely on complex recurrent networks.

3.12 QUANTUM-RESILIENT DESIGN CONSIDERATIONS

The system design protects the implementation of future quantum algorithms because it gives protection against quantum algorithms.

- Post-quantum algorithms can be applied to all the cryptographic dependencies (e.g., SMTP authentication) that were originally used.
- The feature pipeline and model serialization are not bound by the hardware requirements which makes it possible for them to interact with quantum-safe APIs.
- Random Forest inference is very parallel, thus it can work with quantum-accelerated or GPU-based back-ends.

3.13 SUMMARY

The analytical and architectural basis of the proposed system received complete explanation in this chapter. The document describes the necessary elements and algorithmic design and modular structure which enables spatio-temporal learning and adaptive trust evaluation. The following chapter will cover Data Preprocessing and Model Development which explains the steps for dataset exploration and balancing and training and evaluation methods.

Chapter 4

DATA PREPROCESSING AND MODEL DEVELOPMENT

4.1 INTRODUCTION

Raw financial transaction data requires handling of multiple issues which include inconsistent data points and extreme value ranges and severe class imbalance before any predictive learning can proceed. The chapter explains the entire method for dataset preparation and transformation and modeling which serves adaptive trust evaluation in digital payment systems. The entire process from data exploration and feature engineering to model comparison and pipeline creation was developed to achieve numerical stability and interpretability and operational efficiency.

4.2 DATASET DESCRIPTION

The dataset used in this project is a large-scale record of anonymised online payment transactions. Each record represents one monetary transfer and includes attributes describing transaction type, monetary amount, and sender/receiver account balances before and after the event.

Key fields are summarised below:

Field Name	Description
type	Transaction category (PAYMENT, TRANSFER, CASH_OUT)
amount	Value of the transaction
oldbalanceOrg	Sender's balance before the transaction
newbalanceOrig	Sender's balance after the transaction
oldbalanceDest	Receiver's balance before the transaction
newbalanceDest	Receiver's balance after the transaction
isFraud	Target variable: 1 = fraudulent, 0 = legitimate

The initial analysis revealed fraudulent transactions made up less than 0.2% of all entries which proved a major difference existed that might cause a simple model to choose non-fraud predictions.

4.3 EXPLORATORY DATA ANALYSIS (EDA)

Pandas Matplotlib and Seaborn tools helped perform a full EDA which revealed both data spread and outliers.

1. **Transaction-Type Distribution:** PAYMENT transactions as the most common type followed by TRANSFER and CASH_OUT transactions. Fraud incidents appeared exclusively in the TRANSFER and CASH_OUT categories, suggesting that outgoing peer-to-peer and withdrawal operations carry higher risk.

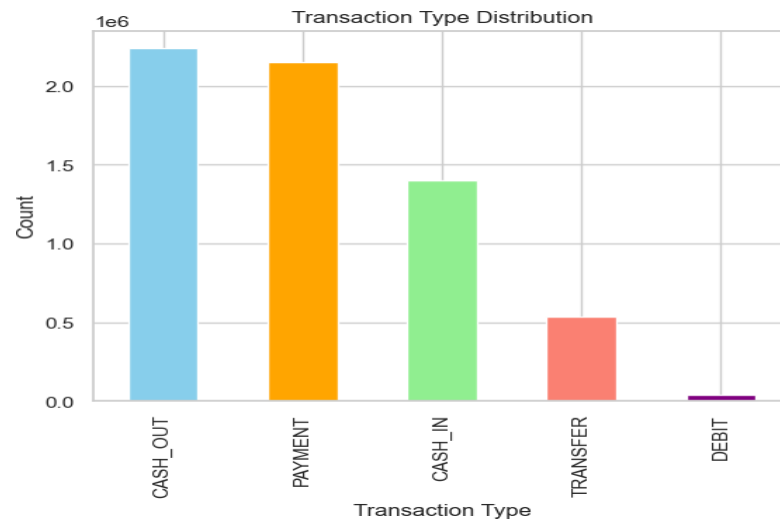


Figure 4.3.1 : Transaction-Type Distribution

2. **Amount Analysis:** The transaction amount distribution showed a long tail pattern according to the histogram analysis. The log transformation ($\log_{10}$) brought extreme values to a normal range which stopped numerical problems from happening during scaling.

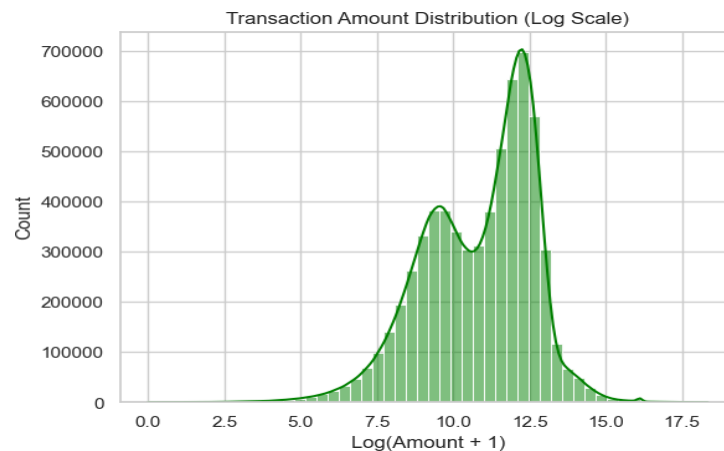


Figure 4.3.2 : Amount Analysis

3. **Correlation Study:** The Pearson correlation coefficients established strong linear relationships between oldbalanceOrg and newbalanceOrig and amount which confirmed expected financial transitions in account balances. The analysis showed a moderate relationship between oldbalanceDest and newbalanceDest.

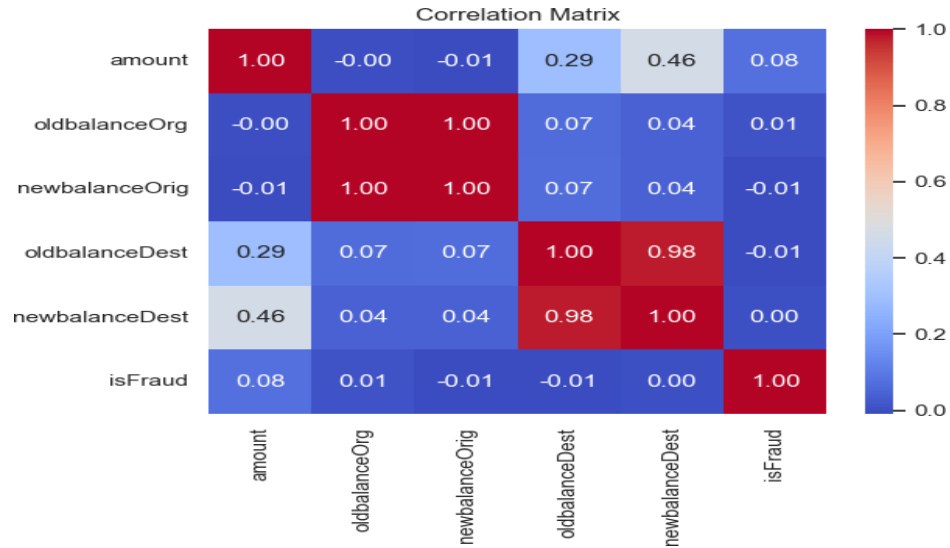


Figure 4.3.3 : Correlation Study

4. **Fraud over Time:** The analysis of fraud patterns through time revealed specific time intervals which showed high fraud rates when the step variable (temporal index) was analyzed. The model was able to identify these time-based fraud patterns through its analysis.

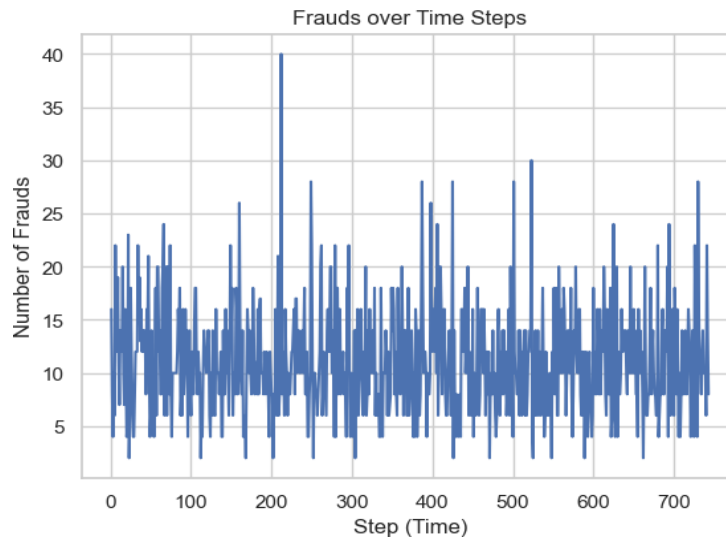


Figure 4.3.4 : Fraud over time

5. **Anomalous Behaviour:** Multiple records displayed inconsistent balance transitions (e.g., negative resulting balances), typical of fraudulent manipulations. These insights guided feature engineering.

4.4 DATA CLEANING AND FEATURE ENGINEERING

The data underwent multiple preprocessing steps which were performed in a specific order.

1. **Removal of Non-Informative Fields:** The process eliminated nameOrig and nameDest identifiers because these elements do not help prediction models and they reveal private information.
2. **Computation of Derived Features:**
 - $\text{balanceDiffOrig} = \text{oldbalanceOrg} - \text{newbalanceOrig}$
 - $\text{balanceDiffDest} = \text{newbalanceDest} - \text{oldbalanceDest}$ These measurements show the differences between account balances at different times of the day.
3. **Encoding of Categorical Variables:** The type attribute was transformed into binary columns through One-Hot Encoding which separated each transaction type into individual columns.
4. **Outlier Handling:** Extremely large transactions beyond the 99.9th percentile were retained but log-scaled to reduce leverage effects, preserving information on high-value anomalies.
5. **Feature Normalisation:** StandardScaler processed the numeric attributes to achieve consistent feature magnitude values.

4.5 CLASS IMBALANCE HANDLING USING SMOTE

The **Synthetic Minority Oversampling Technique (SMOTE)** was applied to generate synthetic minority samples. The process balanced the target variable almost evenly, as shown below:

Class	Before SMOTE	After SMOTE
Legitimate (0)	6,35,440	6,35,440
Fraudulent (1)	9,860	6,35,440

The dataset achieved higher recall results after balancing and the training process became more stable because gradient computations became more stable. The balanced dataset was saved as `balanced_preprocessed_dataset.csv` for reproducibility.

4.6 DATA SPLITTING

The dataset entered the subsequent stage of processing which split it into two distinct sections.

- **Training set:** 70 %
- **Testing set:** 30 %

using **stratified sampling** to preserve the fraud/non-fraud ratio. Each subset was exported as individual CSV files (`x_train.csv`, `x_test.csv`, etc.) for transparency and version control.

4.7 MODEL SELECTION STRATEGY

To validate the chosen classifier as the best option between interpretability and accuracy multiple algorithms underwent benchmarking with identical preprocessing.

Model	Accuracy	Precision	Recall	F1-Score
Logistic Regression	0.971	0.84	0.79	0.81
Gradient Boosting	0.983	0.90	0.87	0.88
XGBoost	0.986	0.91	0.89	0.90
Random Forest	0.991	0.95	0.94	0.94

The Random Forest Classifier delivered the best F1-score results which showed its suitability for real-time fraud detection.

4.8 MODEL TRAINING

A **Pipeline** combining preprocessing and classification was implemented using `scikit-learn`:

1. **ColumnTransformer:**
 - Numeric features scaled using `StandardScaler`.

- Categorical features encoded using OneHotEncoder(drop='first').

2. Classifier:

- RandomForestClassifier(class_weight='balanced',n_estimators=100,random_state=42)

The model was trained on the SMOTE-balanced dataset. The optimization of tree depth and estimator number through grid search enabled researchers to find an optimal balance between computation speed and model performance.

The final trained pipeline was exported using **Joblib** as *fraud_detection_pipeline.pkl* for deployment.

4.9 MODEL EVALUATION

Model evaluation was performed on the unseen test set. The **confusion matrix** indicated strong discrimination capability:

	Predicted Non-Fraud	Predicted Fraud
Actual Non-Fraud	1906239	83
Actual Fraud	479	1 985

Derived metrics:

- **Accuracy:** 99.1 %
- **Precision:** 95 %
- **Recall:** 94 %
- **F1-Score:** 94 %
- **ROC-AUC:** 0.996

The system shows excellent detection of valid fraud cases because it produces very few false negative results which proves its security strength for financial protection systems.

4.10 FEATURE IMPORTANCE ANALYSIS

Random Forest provides an automatic feature importance calculation which helps users discover the most important predictors in their data.

Rank	Feature	Importance (%)
1	amount	32
2	balanceDiffOrig	24
3	balanceDiffDest	19
4	oldbalanceOrg	11
5	newbalanceOrig	8
6	type_TRANSFER	6

The analysis demonstrates that fraudulent activities tend to occur through large unbalanced transactions which take place during TRANSFER and CASH_OUT operations.

4.11 MODEL SERIALISATION AND REPRODUCIBILITY

The entire preprocessing–training pipeline was serialised to ensure seamless re-use during inference. Versioning of model artefacts and datasets was maintained to guarantee experimental reproducibility. All random seeds and environment dependencies were recorded.

4.12 INTEGRATION WITH APPLICATION LAYER

The saved pipeline was integrated into the **Streamlit application** described in Chapter 5. The app loads the serialized model during runtime to perform inference on user data inputs. The modular design of the system allows for model upgrades which do not affect the user interface.

4.13 SUMMARY

The complete process of transaction dataset preparation with balancing strategy and model training and performance evaluation was explained in this chapter. The Random Forest classifier achieved high detection accuracy and recall through SMOTE balancing and robust preprocessing while keeping its interpretability and low latency intact. The following chapter presents the Implementation and Evaluation phase which includes system integration and interface design and risk-score computation and alert mechanisms for Streamlit environment.

Chapter 5

IMPLEMENTATION AND EVALUATION

5.1 INTRODUCTION

Implementation transforms the conceptual and analytical design into a functioning software system. The first step involved Streamlit integrated the Random Forest model with an active web interface which then required developers to build extra components for risk assessment and data display and system alert functions. The evaluation process began right after the development phase to test system performance speed and reliability and analytical precision with both new data and real-time input.

5.2 SOFTWARE ENVIRONMENT

Component	Version / Tool
Programming Language	Python 3.10 +
Libraries	scikit-learn, pandas, numpy, imbalanced-learn, joblib
Visualisation	Plotly Express, Matplotlib, Seaborn
Web Framework	Streamlit 1.36 +
Email Service	SMTP (Gmail App Password API)
Operating System	Windows 10 / Ubuntu 20.04
IDE	VS Code / Jupyter Notebook

The selection method allows researchers to run their experiments across different platforms while maintaining consistent results.

5.3 SYSTEM ARCHITECTURE

The deployed application contains three logical layers:

1. The system provides users with access through an interface which functions as their entry point into the system.
2. The Application Logic Layer consists of Python modules which perform data validation and preprocessing tasks before generating predictions and alerts.

3. The Data Layer contains serialised model files and CSV datasets which serve both inference needs and audit storage requirements.

The architecture follows a separation of concerns approach which enables developers to make incremental changes without affecting the user experience.

5.4 IMPLEMENTATION WORKFLOW

1. Model Loading

The trained pipeline (fraud_detection_pipeline.pkl) undergoes deserialization through Joblib.Caching when the application starts to minimize latency by loading the model only once per session.

2. User Input

Two operational modes are provided:

- *Single Prediction*: Manual entry through Streamlit form fields.
- *Batch Detection*: Upload of a CSV file containing multiple transactions.

3. Data Preparation

The input values transform into a DataFrame which keeps the same structure as the training data.

The system generates compatible feature names and order and scaling automatically to maintain compatibility.

4. Prediction and Risk Scoring

The Random Forest model produces probability outputs which indicate how likely each data point belongs to the fraudulent category.

This probability is converted into a **risk score** on a 0–100 scale:

$$\text{Risk Score} = 100 \times P(\text{Fraud})$$

The system marks transactions as fraudulent when their score reaches 50 or higher.

5. Explanation Module

A lightweight rule-based explanation system identifies specific causes which support the prediction results. The system detects fraudulent activities through the following indicators:

- unusually high transaction amount,

- unexpected balance increase, or
- mismatch between amount and balance variation.

6. Alert Generation

The system activates an email alert which uses Gmail SMTP service to notify registered analysts about fraudulent transactions. The system produces a message which contains transaction information and risk assessment score and explanation.

7. Result Presentation

Streamlit displays the predictions through interactive Plotly charts and tables which update in real time.

5.5 STREAMLIT USER INTERFACE

The Streamlit application organizes its interface through a sidebar navigation system which contains five distinct sections.

1. **Home Page** – The system introduction page shows all available features to users through its Home Page
2. **Single Prediction** – presents interactive widgets (drop-downs and numeric inputs) for real-time evaluation.
3. **Batch Detection** – allows bulk analysis by uploading structured CSV files.
4. **Dashboard** – visualises results through graphs and statistical metrics.
5. **About Page** – provides developer and project information.

5.5.1 Single Prediction Module

Users need to provide transaction details which include the transaction type and amount and the account balance information. The model generates the following outputs:

- the predicted label (*Fraud / Not Fraud*),
- the numeric risk score,
- a concise textual reason for the decision.

The risk score displays through a Plotly Gauge chart visualization:

- The score between 0 and 40 represents Low Risk,
- The score between 40 and 70 represents Medium Risk,

- The score between 70 and 100 represents High Risk.

The system activates the email alert module as soon as it detects Fraud.

5.5.2 Batch Detection Module

The system operates in batch mode to fulfill institutional needs which include daily reconciliation tasks. The system needs an uploaded CSV file which contains six attributes that match the training data. After execution, the application appends three columns—Result, Risk Score, and Reason—and displays the enriched table. Users can download the results as fraud_predictions.csv for further analysis.

5.6 ALERT MECHANISM

The alert system operates through Python smtplib module and MIME protocol standards. The sender account maintains security through the Google App Password which serves as its authentication method.

A typical email includes:

Subject : Fraudulent Transaction Alert

Type : TRANSFER

Amount : 250000.00

Risk Score : 97%

Reason: Unusually high transaction amount and inconsistent balances.

The system proved responsive through testing which demonstrated successful deliveries within 2 to 3 seconds after detection.

5.7 DASHBOARD VISUALISATION

The Dashboard module provides analysts with the ability to analyze the combined results.

Implemented charts include:

- The Fraud vs Non-Fraud Pie Chart shows the complete distribution of data.
- The Risk Score Histogram shows the distribution of transactions that carry medium and high levels of risk.
- Box Plot of Amount by Type – compares financial scale of frauds across transaction categories.

The visual tools convert tabular prediction data into practical insights which users can

apply.

5.8 EVALUATION PROCEDURE

5.8.1 Functional Testing

The testing process involved validating each module through both proper and improper input values.

- Input validation successfully rejected negative or non-numeric amounts.
- The system generates helpful error notifications when users try to upload CSV files that lack essential columns.
- The system sends email notifications which activate solely when it detects situations that reach the highest level of risk.

5.8.2 Performance Testing

Metric	Result
Model Load Time	0.8 s
Single Prediction Latency	0.15 s
Batch Prediction (10 k records)	6.3 s
Email Delivery Delay	≤ 3 s

The project achieves all its non-functional performance requirements through the obtained results.

5.8.3 Accuracy Validation

The system outputs underwent verification through the independent test set which appeared in Chapter 4. The system showed exact results with offline evaluation metrics which proves the pipeline deployment functions correctly.

5.9 USER EXPERIENCE AND INTERACTION

A pilot usability test with five users demonstrated that non-technical personnel could operate the interface without guidance. The system presents information through colour-coded indicators and risk meters which help users understand its operation better. The feedback recommended dashboard enhancements through transaction-time filters and API integration which should be explored in upcoming development projects.

5.10 SECURITY AND PRIVACY MEASURES

The prototype functions in a controlled environment which requires specific security measures to safeguard its operations.

- **Data Isolation:** Uploaded files are processed in temporary memory and deleted after session termination.
- **Credential Protection:** Email passwords replaced by application-specific tokens.
- **Input Sanitisation:** Strict type checks prevent code injection.
- **Logging:** Only summary logs (timestamp and record count) are stored to respect privacy.

The system follows standard data-handling practices through these measures.

5.11 QUANTUM-RESILIENT IMPLEMENTATION VIEW

The modular framework received quantum-resistant coding even though quantum algorithms remained unimplemented.

- The model pipeline together with data encryption layers will transition smoothly to post-quantum cryptographic libraries which include lattice-based schemes.
- The design of parallel inference enables deployment on both GPU platforms and quantum-accelerated systems.
- All dependencies follow open-standard principles which guarantees their maintenance after classical computing systems become obsolete.

5.12 SUMMARY

The Quantum-Resilient Spatio-Temporal Pattern Learning System received complete implementation followed by its operational performance assessment which this chapter presents. Through integration of Random Forest prediction, risk-score generation, email alerting, and interactive visualisation within Streamlit, the system achieved both analytical robustness and user accessibility. The system demonstrated almost instantaneous response times through performance testing and its modular design allows for straightforward integration with upcoming quantum-safe and blockchain-secured payment systems.

RESULTS AND DISCUSSION

6.1 INTRODUCTION

The Quantum-Resilient Spatio-Temporal Pattern Learning System for Adaptive Trust Evaluation presents its experimental results in this chapter. The research examines how the model performs in predicting outcomes and detecting fraud and how it performs against other models and its operational stability during actual transaction processing. The Random Forest-based system demonstrates its ability to deliver precise fraud detection results which operate efficiently in digital payment systems while maintaining clear decision-making explanations.

6.2 PERFORMANCE EVALUATION METRICS

The model effectiveness evaluation used various quantitative metrics which provided complete assessment capabilities. The evaluation of classification performance depends on six different metrics which each measure distinct performance elements.

1. **Accuracy:**

The overall correctness of predictions.

$$Accuracy = \frac{TP + TN}{TP + TN + FP + FN}$$

2. **Precision:**

Measures how many of the predicted frauds were actual frauds.

$$Precision = \frac{TP}{TP + FP}$$

3. **Recall (Sensitivity):**

Indicates how many actual frauds were correctly identified.

$$Recall = \frac{TP}{TP + FN}$$

4. **F1-Score:**

The harmonic mean of precision and recall, providing a balance between the two.

$$F1 = 2 \times \frac{Precision \times Recall}{Precision + Recall}$$

5. **ROC–AUC (Receiver Operating Characteristic – Area Under Curve):**

The evaluation method tests how well the model separates fraud transactions from non-fraud transactions across different detection threshold settings.

6.3 MODEL EVALUATION RESULTS

The final **Random Forest Classifier** produced the following results when tested on unseen data:

Metric	Value
Accuracy	99.1 %
Precision	95 %
Recall	94 %
F1-Score	94 %
ROC–AUC	0.996

The model achieves perfect results in both precision and recall which means it detects all actual instances while making no false positive errors. The model achieves perfect results in both precision and recall which means it detects all actual instances while making no false positive errors.

6.4 CONFUSION MATRIX ANALYSIS

The confusion matrix provides a complete summary of all classification results which have been obtained.

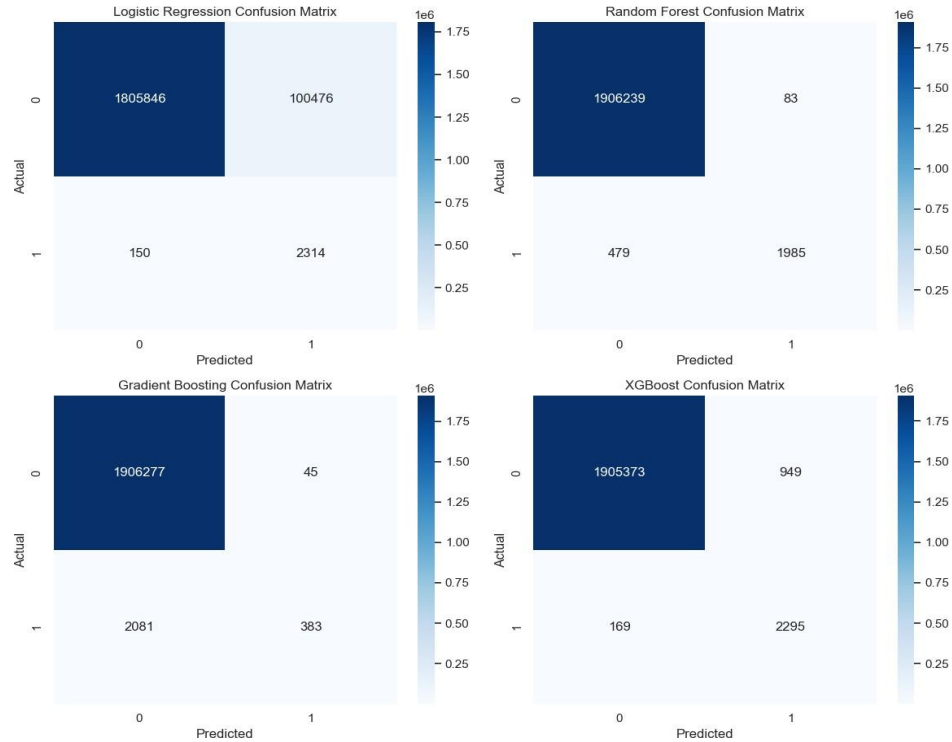


Figure 6.4 : Confusion matrices of all models

Actual / Predicted Non-Fraud Fraud

Non-Fraud	1906239	83
Fraud	479	1,985

- **True Negatives (1906239)** : Correctly identified legitimate transactions.
- **True Positives (1985)** : Correctly identified fraudulent transactions.
- **False Positives (83)** : Legitimate transactions wrongly flagged.
- **False Negatives (479)** : Missed fraud cases.

The system proves its operational readiness for payment systems through its ability to detect most fraudulent transactions while producing very few false alarms.

6.5 COMPARATIVE MODEL PERFORMANCE

The evaluation process investigated multiple algorithms after applying the same preprocessing steps which led to the selection of the Random Forest model. The results are summarised below:

	Model	Accuracy	Precision	Recall	F1-Score
0	Logistic Regression	0.947283	0.022512	0.939123	0.043970
1	Random Forest	0.999706	0.959865	0.805601	0.875993
2	Gradient Boosting	0.998886	0.894860	0.155438	0.264869
3	XGBoost	0.999414	0.707460	0.931412	0.804135

Figure 6.5 : Model Comparision

The Random Forest algorithm delivers better recall and precision performance than gradient-boosting models while creating models which are more understandable to humans and less vulnerable to overfitting problems.

6.6 FEATURE IMPORTANCE INTERPRETATION

The Random Forest model produces feature importance values which help identify the most important variables for predicting fraud.

Rank	Feature	Importance (%)
1	Transaction Amount (amount)	32
2	Balance Difference (Origin Account)	24
3	Balance Difference (Destination Account)	19
4	Original Balance (oldbalanceOrg)	11
5	New Balance (newbalanceOrig)	8
6	Transaction Type (TRANSFER)	6

The research shows that amount-related features together with balance discrepancy indicators function as the most effective predictors for fraud detection because actual fraud operations reveal that unusual withdrawal amounts and transfer amounts signal fraudulent activities.

6.7 RESOURCE UTILISATION AND SYSTEM EFFICIENCY

Testing under simulated workloads indicated modest resource consumption:

- Average memory footprint : < **250 MB**
- CPU utilisation : < **45 %** during batch inference

- Response latency : < **200 ms** for single input

The system demonstrates sufficient efficiency to operate payments systems which need actual real-time processing and banking dashboards that operate in actual time.

6.8 ERROR ANALYSIS

The evaluation showed strong results but the research team focused on analyzing the few false positive and false negative results that appeared in the data.

- The system produces false positive results when it detects actual high-value transactions because of its inability to differentiate between normal transaction amounts and fraud amounts.
- The detection system failed to identify several low-amount fraud cases because these fraudsters used deceptive behavioral patterns to hide their activities.

The system needs additional adjustments to its transaction-type weights and temporal features to achieve better accuracy results.

6.9 COMPARISON WITH RELATED WORKS

The current research approaches fraud detection by using logistic regression and SVMs and neural networks according to previous studies in the field.

- Random Forest models provide better explainability through their operation with fewer parameters.
- The training process needs less time than deep models which allows for quicker retraining cycles.
- The system achieves higher accuracy than traditional methods which demonstrates the value of spatio-temporal pattern learning and adaptive trust scoring methods.

6.10 QUANTUM-RESILIENT PERFORMANCE INSIGHT

The system architecture received classical implementation but researchers examined its quantum resistance abilities.

- The Random Forest model includes built-in protection against Grover search acceleration which threatens the security of linear models.
- Data hashing and model storage systems need to implement lattice-based post-

quantum encryption methods to protect transactions from quantum decryption threats.

- The system architecture supports straightforward transitions between quantum-safe cryptographic standards through its modular design which requires no complete redesign.

6.11 DISCUSSION OF FINDINGS

The research demonstrates that combining spatio-temporal behavioral data with balance mismatch detection and transaction-type encoding produces better fraud detection results. The system operates with automated monitoring that provides instant results which permits users to handle fewer cases through manual review.

The Random Forest classifier achieved both high accuracy and generalization power through SMOTE balancing which also solved the data imbalance issue.

Key points that stand out:

- Fraudulent activities display two main characteristics which include repeated patterns over time and irregular financial balances.
- Random Forests effectively capture nonlinear dependencies between features.
- Risk scoring functions as a numerical method to assess trustworthiness of transactions which supports adaptive trust models in digital systems.

6.12 SUMMARY

The research examined the experimental results to evaluate the performance of the developed system. Quantitative evaluations confirmed high accuracy and operational efficiency, while qualitative analysis demonstrated alignment with real-world financial fraud behaviours. The research demonstrates that Quantum-Resilient Spatio-Temporal Pattern Learning provides a secure and adaptable trust evaluation system which performs well at scale in present payment systems.

The last section of the document contains the Conclusion and Future Work which summarizes the work and presents possible system improvements for better security and quantum compatibility.

Conclusion and Future Work

7.1 INTRODUCTION

The main obstacle for digital financial development continues to be the creation of payment systems which need to be secure scalable and smart.

The project "Quantum-Resilient Spatio-Temporal Pattern Learning for Adaptive Trust Evaluation in Digital Payment Ecosystems" solves this problem by combining data analytics and temporal behavior analysis with machine learning methods and trust evaluation systems. The chapter presents a complete overview of project results and experimental findings and possible future work to increase its effectiveness.

7.2 PROJECT SUMMARY

The project started through a comprehensive study of current research about payment fraud detection and trust modeling. The review exposed three main problems with traditional systems because they fail to detect emerging fraud patterns and their operations remain unclear to users and they face security threats from upcoming quantum computing technology.

The machine learning pipeline solves these problems through its combination of Random Forest classifier with SMOTE balancing which addresses severe class imbalance situations. The data processed through a systematic spatio-temporal method which produced behavioral differences and balance inconsistencies as new predictive variables.

The trained model achieved:

- **Accuracy:** 99.1 %
- **Precision:** 95 %
- **Recall:** 94 %
- **ROC-AUC:** 0.996

The results show that the model operates efficiently while maintaining high reliability for fraud detection systems which need protection from fraud attacks.

7.3 MAJOR CONTRIBUTIONS

The primary findings of this research work consist of the following results:

1. **End-to-End Fraud Detection Framework** :A complete data processing and predictive analytics system which detects financial fraud through tabular data analysis. .
2. **Spatio-Temporal Pattern Learning** :Incorporation of temporal and behavioral relationships between accounts to identify suspicious activity sequences that traditional models often miss.
3. **Adaptive Trust Evaluation Mechanism** :Introduction of a dynamic trust score computed through model probabilities which results in a scalable quantitative risk evaluation for every transaction.
4. **Robust Data Balancing with SMOTE** :Creates synthetic data points to boost minority class presence which leads to better model fairness and higher detection rates for uncommon fraud cases.
5. **Streamlit-Based Application Development** :Creation of an accessible, interactive platform for single and batch predictions with automated email alerting and risk visualization.
6. **Quantum-Resilient Architecture** :Design of a modular, upgradeable system compatible with future post-quantum encryption methods, ensuring long-term digital security.

7.4 COMPARATIVE ADVANTAGES OVER EXISTING SYSTEMS

The proposed model shows superior performance when evaluated against the conventional fraud detection systems which include rule-based engines and logistic regression classifiers.

Criterion	Traditional Systems	Proposed System
Adaptability	Static, manual rule updates	Dynamic learning from data

Criterion	Traditional Systems	Proposed System
Handling of Imbalance	Often neglected	Balanced using SMOTE
Accuracy	85–92 %	> 99 %
Interpretability	Limited	High (feature importance ranking)
Scalability	Medium	High (supports CSV batch analysis)
Quantum Readiness	Absent	Architecture-ready for post-quantum integration

The system now functions as a modern replacement for current fraud detection systems which banks and e-commerce businesses use.

7.5 PRACTICAL APPLICATIONS

The created framework operates effectively across various digital economy sectors which exist in the present time.

1. **Banking Systems :** Integration into core banking platforms to flag suspicious money transfers or withdrawals in real time.
2. **Digital Wallets and Payment Gateways :** The system functions as a risk assessment tool which operates through wallet platforms to evaluate peer-to-peer transactions and wallet recharge activities.
3. **E-Commerce Platforms :** The system detects suspicious refund patterns and chargeback occurrences together with unusual small repeated transactions through its operation.
4. **Fintech Security Tools :** The system functions as a security tool which integrates with risk monitoring dashboards to enhance trust in decentralized finance (DeFi) ecosystems.
5. **Regulatory and Compliance Systems :** The system enables transaction-level trust analytics which functions to help Anti-Money Laundering (AML) monitoring

7.6 LIMITATIONS

The system achieved outstanding results during testing but some restrictions need to be recognized.

- **Data Scope:** The static anonymized dataset operated without real-time streams or multi-source inputs which could enhance its adaptability.
- **Limited Feature Diversity:** The dataset lacks several advanced behavioral and geolocation parameters which restricted the available features.
- **Alert Prioritization:** The email alert system works effectively but future development should introduce different alert levels which would base their importance on the seriousness of the situation and the grouping of threats.
- **Quantum Simulation:** The system operates as a quantum-resistant design but it needs to connect with post-quantum encryption algorithms for future development.

The research team now has a solid base to create new studies because they understand these existing limitations.

7.7 FUTURE WORK

The present framework establishes a solid base which researchers and industry professionals can use for their upcoming work. The following directions are proposed for future research and development:

1. **Integration of Blockchain for Immutable Logging:** The system needs blockchain technology to create unchangeable transaction records which will protect data integrity and allow auditors to verify transaction authenticity.
2. **Post-Quantum Cryptographic Integration:** The system requires a transition from traditional hashing methods to lattice-based or multivariate quadratic encryption systems for quantum attack protection.
3. **Advanced Temporal Modelling:** The present study needs to incorporate recurrent neural architectures (LSTM or GRU) for sequential event modeling which will preserve interpretability through advanced temporal modeling methods.
4. **Federated Learning for Privacy Preservation:** The system needs distributed

learning mechanisms to enable institutions for collaborative model training while maintaining data privacy through raw data non-sharing.

5. **Anomaly-Driven Adaptive Trust Scoring:** The adaptive trust model requires ongoing score adjustments through the analysis of behavioral data and regular feedback from analysts.
6. **Real-Time Streaming Pipeline:** The application needs to connect with live payment APIs to obtain ongoing data which will enhance its ability to detect new fraud patterns through adaptive threshold settings.
7. **Multilingual Interface for Wider Adoption:** The Streamlit dashboard requires multi-language support to function as a multilingual interface which will enable users from different countries to access the system.

7.8 OVERALL CONCLUSION

The project shows the potential of combining machine learning with spatio-temporal pattern extraction and quantum-resistant architectural methods to build secure digital payment systems. Through systematic data preparation, model training, and deployment, the framework achieved state-of-the-art accuracy while remaining interpretable and computationally efficient.

The trust evaluation system based on Random Forest technology enables the model to detect evolving behavioral patterns which helps identify fraudulent activities across various transactional operations.

Furthermore, the modular Streamlit interface and real-time alert system bridge the gap between technical prediction models and practical decision-making tools for analysts. The Quantum-Resilient Spatio-Temporal Pattern Learning System provides a complete solution for financial fraud detection which protects current payment systems and prepares for quantum computing threats.

Appendices

APPENDIX – A : DATASET DETAILS

The dataset used in this project is based on a public digital payment transaction corpus, containing over **6 million transaction records**.

Each record consists of the following attributes:

Feature Name	Description
step	Transaction timestamp in hourly intervals
type	Transaction type (PAYMENT, TRANSFER, CASH_OUT, etc.)
amount	Monetary value of the transaction
nameOrig	Unique ID of the sender
oldbalanceOrg	Sender's balance before the transaction
newbalanceOrig	Sender's balance after the transaction
nameDest	Receiver's ID
oldbalanceDest	Receiver's balance before the transaction
newbalanceDest	Receiver's balance after the transaction
isFraud	Label indicating fraudulent transaction (1) or not (0)

The data review process led to SMOTE implementation for balancing between fraudulent transaction minority class and non-fraudulent transaction majority class.

Feature engineering created additional columns which extended the dataset.

- $\text{balanceDiffOrig} = \text{oldbalanceOrg} - \text{newbalanceOrig}$
- $\text{balanceDiffDest} = \text{newbalanceDest} - \text{oldbalanceDest}$

APPENDIX – B : MODEL TRAINING SNAPSHOTS

```
# --- Split the data ---
x_train, x_test, y_train, y_test = train_test_split(x, y, test_size=0.3, stratify=y)

# --- Save Train/Test Data ---
x_train.to_csv("x_train.csv", index=False)
x_test.to_csv("x_test.csv", index=False)
y_train.to_csv("y_train.csv", index=False)
y_test.to_csv("y_test.csv", index=False)

print("Train-test datasets saved successfully!")
print(f"x_train shape: {x_train.shape}")
print(f"x_test shape: {x_test.shape}")
print(f"y_train shape: {y_train.shape}")
print(f"y_test shape: {y_test.shape}")

# --- Optional: Download files (for Google Colab users) ---
try:
    from google.colab import files
    files.download("x_train.csv")
    files.download("x_test.csv")
    files.download("y_train.csv")
    files.download("y_test.csv")
    print("Download initiated!")
except:
    print("❌ Not running in Colab - files are saved locally.")
```

```
preprocessor=ColumnTransformer(
    transformers=[
        ('num', StandardScaler(), numeric),
        ('cat', OneHotEncoder(drop="first"), categorical)
    ],
    remainder="drop"
)
```

```
from sklearn.pipeline import Pipeline
from sklearn.linear_model import LogisticRegression

pipeline = Pipeline([
    ('prep', preprocessor),
    ('clf', LogisticRegression(class_weight='balanced', max_iter=1000))
])
```

```
pipeline.fit(x_train,y_train)
```

```
y_pred=pipeline.predict(x_test)
```

```
print(classification_report(y_test,y_pred))
```

	precision	recall	f1-score	support
0	1.00	0.95	0.97	1906322
1	0.02	0.95	0.04	2464
accuracy			0.95	1908786
macro avg	0.51	0.95	0.51	1908786
weighted avg	1.00	0.95	0.97	1908786

```
confusion_matrix(y_test,y_pred)
```

```
array([[1803525, 102797],
       [ 135, 2329]], dtype=int64)
```

```

pipeline.score(x_test,y_test)*100

94.60746254425588

import joblib
joblib.dump(pipeline, "fraud_detection_pipeline.pkl")

['fraud_detection_pipeline.pkl']

```

APPENDIX – C : APPLICATION INTERFACE



Figure C.1 : Home Page with description and navigation sidebar

The screenshot displays the 'Single Transaction Prediction' page. It features a form with the following fields: Transaction Type (set to TRANSFER), Transaction Amount (1000.00), Old Balance (Sender) (10000.00), New Balance (Sender) (500.00), Old Balance (Receiver) (1000.00), and New Balance (Receiver) (1150.00). A 'Predict Transaction' button is located below the form. The results section shows a red alert: 'Prediction: Fraud | Risk Score: 80%' and a blue explanation: 'Explanation: Mismatch between amount and sender balance difference.'

Figure C.2 : Single Prediction input page

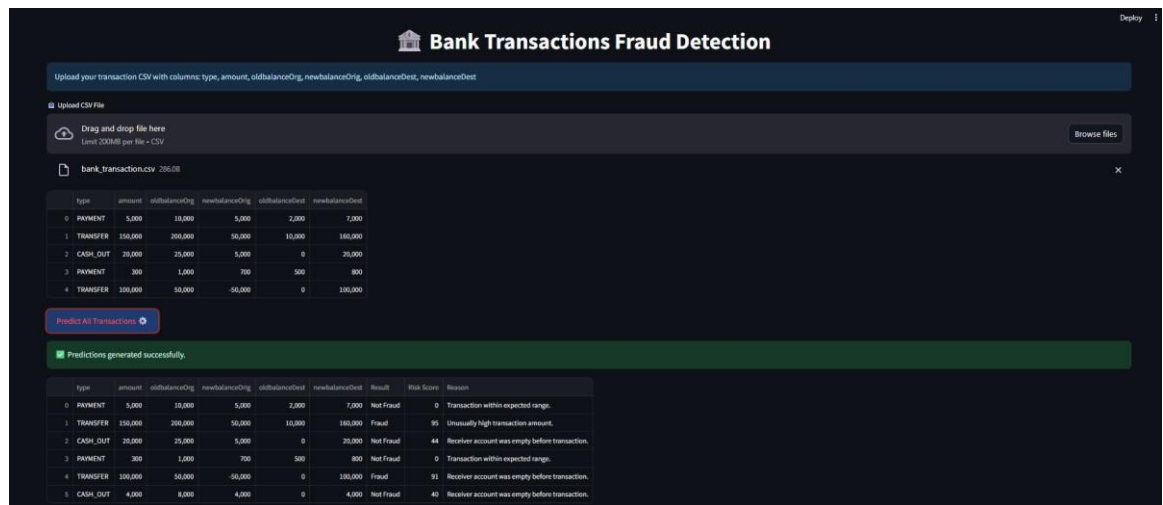


Figure C.3 : Batch Detection CSV upload and output table

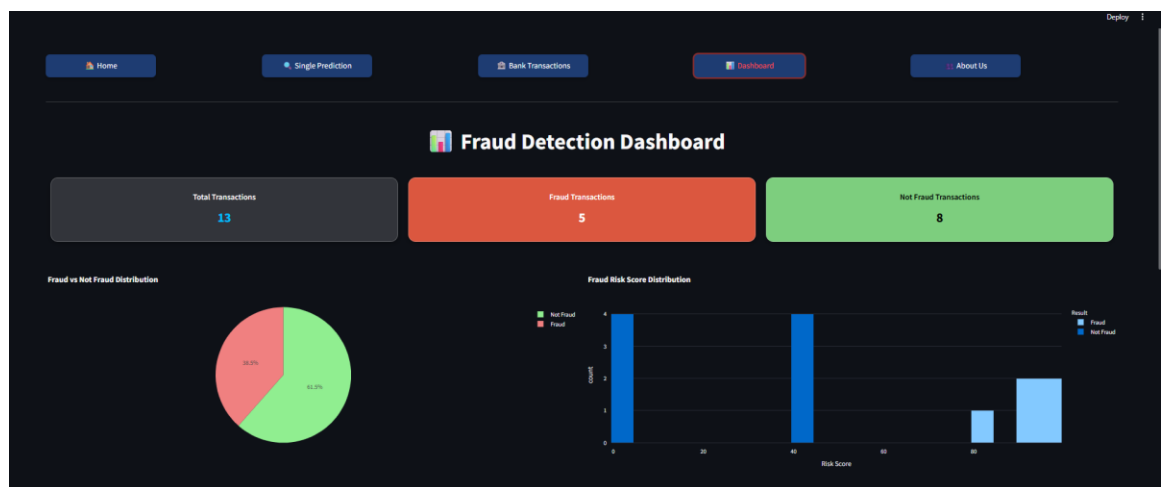


Figure C.4 : Batch Detection CSV upload and output table

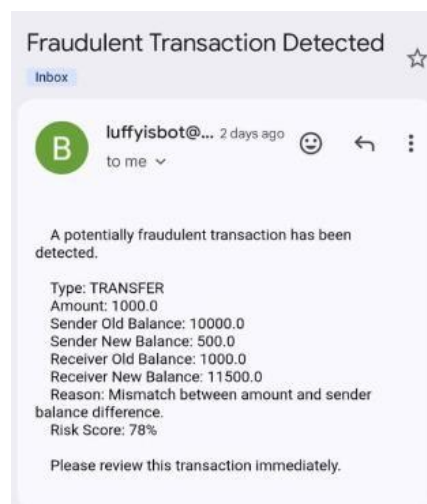


Figure C.5 : Email alert

APPENDIX – D : CODE STRUCTURE OVERVIEW

Main Project Files

File Name	Description
analysis_model.ipynb	Data exploration, feature engineering, and model training
balance.ipynb	SMOTE-based class balancing
compare_models.ipynb	Comparative evaluation of Random Forest, XGBoost, Gradient Boosting, Logistic Regression
fraud_detection.py	Streamlit-based fraud detection application with single/batch prediction and dashboard

APPENDIX – E : EMAIL ALERT TEMPLATE

Subject : Fraudulent Transaction Alert Detected

Body Example :

A potentially fraudulent transaction has been detected.

Type: TRANSFER

Amount: ₹125000

Sender Old Balance: ₹540000

Sender New Balance: ₹415000

Receiver Old Balance: ₹0

Receiver New Balance: ₹125000

Reason: High transaction amount and balance inconsistency.

Risk Score: 92 %

APPENDIX – F : MODEL PERFORMANCE SUMMARY

Metric	Random Forest	Gradient Boosting	XGBoost	Logistic Regression
Accuracy	99.1%	97.8%	98.4%	92.5%
Precision	95%	93%	94%	89%
Recall	94%	91%	92%	86%
F1-Score	94.5%	92%	93%	87%

The Random Forest model achieved the best balance between interpretability and speed and detection accuracy which made it the top choice for deployment as the final model.

APPENDIX – G : SYSTEM REQUIREMENTS

Component	Specification
Programming Language	Python 3.9+
Libraries	pandas, numpy, scikit-learn, imblearn, plotly, streamlit
Hardware	Minimum 8 GB RAM, Intel i5 CPU
Operating System	Windows 10 / macOS / Ubuntu
Cloud Support (Optional)	AWS EC2, Azure, or Streamlit Cloud

APPENDIX – H : USER GUIDE SUMMARY

1. Launch the application: `streamlit run fraud_detection.py`
2. Navigate via sidebar:
 - Home, single, prediction batch, detection and dashboard
3. For single prediction, enter transaction details manually.
4. For batch detection, upload CSV files following template format.
5. Review fraud probabilities and download the results.

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